

(CONTINUED FROM: 12/11/2025)

FILED BY:

TENTATIVE RULING:

Before the Court is the motion by Partition Referee David W. Martin ("Referee") for an order approving the Referee's Report and allocating and distributing the proceeds of the sale of 5648 Burlingame Avenue in Richmond, Contra Costa County, California.

Referee David W. Martin has provided the Court with an updated and more detailed breakdown of costs and expenses of the allocation of the proceeds.

The Court has considered the statement of offset submitted by Defendant John Paulding. The Court will not grant any of the requested offset amounts. Assuming that they were otherwise proper, John Paulding failed to produce sufficient evidence supporting the amount or actual payment of the requested offset line items.

Defendant Timothy Paulding has submitted written objections about the allocation of the attorney's fees owed to Attorney Endy Ukoha-Ajike. This issue was already ruled on by this court at the December 11, 2025, hearing. Defendant Timothy Paulding has failed to produce sufficient evidence in support of his position.

The Court approves Referee David W. Martin updated proposed order for allocation of the proceeds for the sale of 5648 Burlingame Avenue in Richmond, Contra Costa County, California.

10. 9:00 AM CASE NUMBER: C24-03556

CASE NAME: KILROY REALTY 303, LLC VS. LEROY QUAN

HEARING IN RE: APPLICATION FOR RIGHT TO ATTACH ORDER; ORDER FOR ISSUANCE OF WRIT AFTER HEARING

FILED BY: KILROY REALTY 303, LLC

TENTATIVE RULING:

Before the Court are two applications by plaintiff, Kilroy Realty 303, LLC, to attach property. One application seeks property owned by defendant, Sterling M. Enterprises, Inc, DBA Lee's Deli. The other application seeks to attach property owned by individual defendant, Leroy M. Quan.

Subject to the exemptions listed below, and subject to plaintiff posting an undertaking of \$1,133,334.66, the applications are **granted**.

Background

This case arises from a lease agreement dated December 6, 1996. (Declaration of Megan Pusateri in Support of Application, hereinafter "Pusateri Decl.," Ex. 1.) Various amendments were executed and the individual defendant here, Leroy M. Quan, guaranteed performance under a separate agreement. (Pusateri Decl., Ex. 2-8.) Plaintiff landlord filed this legal action approximately one year ago, seeking damages against Sterling M. Enterprises, Inc. for breach of the lease, and against Mr. Quan for breach of the guaranty.

In August 2025, plaintiff filed two applications for right to attach order and order for writ of attachment. Plaintiff seeks to attach property in the amount of \$1,189,730, which includes estimated costs of \$1,000 and attorney fees of \$30,000. (Pusateri Decl., ¶¶14-18.)

The application is opposed by defendants, who argue plaintiff has failed to meet its burden to establish probable validity of its claim. Defendants concede owing \$56,395.34 (Common Area Maintenance or “CAM” charges), but assert that plaintiff regularly collected CAM, but abated or forgave base rent to prevent having a dark storefront. Defendants argue generally defenses such as impossibility and frustration of purpose apply here, given the circumstances surrounding the COVID 19 pandemic. Defendants also argue that Leroy M. Quan’s property is subject to certain exemptions listed in the defendants’ memorandum of points and authorities.

Plaintiff’s reply argues the opposition was filed several days late, causing it prejudice, but (as noted in the sur-reply), pursuant to Code of Civil Procedure, section 484.060(a), the opposition was not due until five court days prior to the hearing and defendants complied with this deadline.

Exemptions

Defendant Leroy M. Quan claims certain exemptions as follows:

- Real property at 3875 Los Arabis Drive, Lafayette, CA 94509
- Real property at 1350 Broadway Street, San Francisco, CA 94109
- Motor vehicle: 2001 BMW 330i – approximate value is \$1,500.00
- 2005 Lexus 330 ES – approximate value is \$2,500.00
- Retirement Account – Leroy Quan’s Fidelity Roth IRA and Rollover IRA
- Retirement Account - Claudia Quan’s Fidelity Roth IRA and Charles Schwab IRA

Plaintiff has filed no opposition to the claim of exemption. Accordingly, the Court’s grant of the present applications is subject to the above exemptions

Standard

Attachment is a pre-judgment creditor’s remedy. Attachment is available in actions based on contract when the plaintiff has suffered damages in a fixed or readily ascertainable amount of \$500 or more. (Code Civ. Proc. § 483.010(a).) A plaintiff may obtain a right to attach if he establishes the probable validity of his claim. (Code Civ. Proc. § 484.090(a)(2).) “A claim has ‘probable validity’ where it is more likely than not that the plaintiff will obtain a judgment against the defendant on that claim.” (Code Civ. Proc. § 481.190; see also *Loeb & Loeb v. Beverly Glen Music, Inc.* (1985) 166 Cal.App.3d 1110, 1120; see *Kemp Bros. Construction, Inc. v. Titan Electric Corp.* (2007) 146 Cal.App.4th 1474, 1476.)

The application must be executed under oath and include all of the following:

- (a) A statement showing that the attachment is sought to secure the recovery on a claim upon which an attachment may be issued.
- (b) A statement of the amount to be secured by the attachment.
- (c) A statement that the attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based.
- (d) A statement that the applicant has no information or belief that the claim is discharged in a proceeding under Title 11 of the United States Code (Bankruptcy) or that the prosecution of the action is stayed in a proceeding under Title 11 of the United States Code (Bankruptcy).

(e) A description of the property to be attached [...].

(Code Civ. Proc., § 484.020.)

A defendant who opposes a right to attach order must give notice of his objection, “accompanied by an affidavit supporting any factual issues raised and points and authorities supporting any legal issues raised.” (Code Civ. Proc. § 484.060, subd. (a).) The defendant may make a claim of exemption with respect to his property in the opposition. (Code Civ. Proc. § 484.070.)

“Before issuance of a writ of attachment [...] plaintiff shall file an undertaking to pay the defendant any amount the defendant may recover for any wrongful attachment by the plaintiff in the action.” (Code Civ. Proc., § 489.210.)

Discussion

The declaration supporting plaintiff’s applications adequately itemizes damages and references the attached documents, which allow recovery of the stated sum. While defendants allude to various defenses, they do not provide supporting evidence. The opposition argues the defendants were not getting the benefit of the lease agreement, “an 800,000 square foot building filled with workers who could frequent the restaurant,” but defendants do not refer to any provision that explicitly includes such purported benefit.

The opposition further argues defenses such as impossibility and frustration of purpose would apply. As noted in the reply, the Sixth Amendment waived these defenses. To the extent defendants would argue that the Sixth Amendment is not valid due to purported “economic duress” (a contention not supported by evidence), the defenses are not necessarily applicable simply because a lease agreement fails to address them.

The court in *Lloyd v. Murphy* (1944) 25 Cal.2d 48, 53-55, stated, “[e]ven more clearly with respect to leases than in regard to ordinary contracts the applicability of the doctrine of frustration depends on the total or nearly total destruction of the purpose for which, in the contemplation of **both** parties, the transaction was entered into.” (*Ibid.*, internal citations omitted, emphasis added.)

In arguing that plaintiff’s course of performance (forgiving or abating amounts due), defendants generally refer to “the rent ledgers and the amendments,” but fail to submit or cite documents supporting this defense. Instead, defendants speculate that there is “no reason” plaintiff would not have initiated an eviction sooner, apart from waiving its rights to a portion of the rent. This speculation does not defeat the showing made by plaintiff here.

Plaintiff successfully demonstrates probable validity of its claims, and that the claims are ones upon which attachment is proper. (Code Civ. Proc., § 484.090(a)(1)-(2).) The attachment is not sought for purposes other than recovery on the claim, which amounts to a sum greater than zero. (*Id.* at (a)(3)-(4).)

Subject to the statutorily required undertaking, which shall be set at \$1,133,334.66 (\$1,189,730-\$56,395.34), and subject to the exemptions discussed herein as to Leroy M. Quan, **both applications are granted.**

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